

ADVANCED MICRO DEVICES, INC.
CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Millions except per share amounts and percentages) (Unaudited)

	Three Months Ended			Year Ended	
	December 27, 2025	September 27, 2025	December 28, 2024	December 27, 2025	December 28, 2024
Net revenue	\$ 10,270	\$ 9,246	\$ 7,658	\$ 34,639	\$ 25,785
Cost of sales	4,433	4,206	3,524	16,456	12,114
Amortization of acquisition-related intangibles	260	260	252	1,031	946
Total cost of sales	4,693	4,466	3,776	17,487	13,060
Gross profit	5,577	4,780	3,882	17,152	12,725
Gross margin	54%	52%	51%	50%	49%
Research and development	2,330	2,139	1,712	8,091	6,456
Marketing, general and administrative	1,198	1,069	781	4,144	2,735
Amortization of acquisition-related intangibles	297	302	332	1,223	1,448
Restructuring charges	-	-	186	-	186
Total operating expenses	3,825	3,510	3,011	13,458	10,825
Operating income	1,752	1,270	871	3,694	1,900
Interest expense	(36)	(37)	(19)	(131)	(92)
Other income (expense), net	358	82	37	577	181
Income from continuing operations before income taxes and equity income	2,074	1,315	889	4,140	1,989
Income tax provision (benefit)	455	153	419	(103)	381
Equity income in investee	1	10	12	26	33
Income from continuing operations, net of tax	1,620	1,172	482	4,269	1,641
(Loss) Income from discontinued operations, net of tax	(109)	71	-	66	-
Net income	\$ 1,511	\$ 1,243	\$ 482	\$ 4,335	\$ 1,641
Earnings per share:					
Earnings from continuing operations - basic	\$ 1.00	\$ 0.72	\$ 0.30	\$ 2.63	\$ 1.01
Earnings from discontinued operations - basic	\$ (0.07)	\$ 0.04	\$ -	\$ 0.04	\$ -
Basic earnings per share	\$ 0.93	\$ 0.76	\$ 0.30	\$ 2.67	\$ 1.01
Earnings from continuing operations - diluted	\$ 0.99	\$ 0.71	\$ 0.29	\$ 2.61	\$ 1.00
Earnings from discontinued operations - diluted	\$ (0.07)	\$ 0.04	\$ -	\$ 0.04	\$ -
Diluted earnings per share	\$ 0.92	\$ 0.75	\$ 0.29	\$ 2.65	\$ 1.00
Shares used in per share calculation					
Basic	1,630	1,626	1,623	1,624	1,620
Diluted	1,649	1,641	1,634	1,636	1,637

ADVANCED MICRO DEVICES, INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(Millions)

	December 27, 2025	December 28, 2024
	(Unaudited)	
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 5,539	\$ 3,787
Short-term investments	5,013	1,345
Accounts receivable, net	6,315	6,192
Inventories	7,920	5,734
Prepaid expenses and other current assets	2,160	1,991
Total current assets	26,947	19,049
Property and equipment, net	2,312	1,802
Goodwill	25,126	24,839
Acquisition-related intangibles, net	16,705	18,930
Deferred tax assets	384	688
Other non-current assets	5,452	3,918
Total Assets	\$ 76,926	\$ 69,226
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	\$ 2,929	\$ 2,466
Accrued liabilities	5,250	4,260
Current portion of long-term debt, net	874	-
Other current liabilities	402	555
Total current liabilities	9,455	7,281
Long-term debt	2,348	1,721
Long-term operating lease liabilities	625	491
Deferred tax liabilities	313	349
Other long-term liabilities	1,186	1,816
Stockholders' equity:		
Capital stock:		
Common stock, par value \$0.01	17	17
Additional paid-in capital	63,365	61,362
Treasury stock, at cost	(7,079)	(6,106)
Retained earnings	6,699	2,364
Accumulated other comprehensive loss	(3)	(69)
Total stockholders' equity	62,999	57,568
Total Liabilities and Stockholders' Equity	\$ 76,926	\$ 69,226

ADVANCED MICRO DEVICES, INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(Millions) (Unaudited)

	Three Months Ended		Year Ended	
	December 27, 2025	December 28, 2024	December 27, 2025	December 28, 2024
Cash flows from operating activities:				
Net income	\$ 1,511	\$ 482	\$ 4,335	\$ 1,641
(Income) loss from discontinued operations, net of tax	109	-	(66)	-
Adjustments to reconcile net income to net cash provided by operating activities:				
Depreciation and amortization	194	172	750	671
Amortization of acquisition-related intangibles	557	583	2,254	2,393
Stock-based compensation	486	339	1,638	1,407
(Gains) losses on long-term investments, net	(280)	-	(341)	-
Deferred income taxes	230	(300)	248	(1,163)
Inventory loss at (recovery from) contract manufacturer	-	-	(67)	65
Other	30	93	120	125
Changes in operating assets and liabilities:				
Accounts receivable, net	(114)	96	(121)	(1,865)
Inventories	(610)	(362)	(2,189)	(1,458)
Prepaid expenses and other assets	248	510	(11)	339
Accounts payable	(588)	(571)	410	3
Accrued and other liabilities	531	257	(467)	883
Net cash provided by operating activities of continuing operations	2,304	1,299	6,493	3,041
Net cash provided by operating activities of discontinued operations	296	-	1,216	-
Net cash provided by operations	2,600	1,299	7,709	3,041
Cash flows from investing activities:				
Purchases of property and equipment	(222)	(208)	(974)	(636)
Purchases of short-term investments	(3,360)	(786)	(5,470)	(1,493)
Proceeds from maturity of short-term investments	783	65	1,765	1,416
Proceeds from sale of short-term investments	14	25	80	616
Acquisitions, net of cash acquired	(44)	-	(1,760)	(548)
Related party loan and equity method investment	-	(100)	-	(117)
Purchases of long-term investments	(70)	(210)	(502)	(341)
Other	10	-	10	2
Net cash used in investing activities of continuing operations	(2,889)	(1,214)	(6,851)	(1,101)
Proceeds from divestiture, net of cash divested	1,356	-	1,356	-
Purchases of property and equipment	(8)	-	(38)	-
Net cash provided by investing activities of discontinued operations	1,348	-	1,318	-
Net cash used in investing activities	(1,541)	(1,214)	(5,533)	(1,101)
Cash flows from financing activities:				
Proceeds from debt and commercial paper issuance, net of issuance costs	-	-	2,441	-
Repayment of debt and commercial paper	-	-	(950)	(750)
Proceeds from sales of common stock through employee equity plans	116	127	285	279
Repurchases of common stock	-	(256)	(1,316)	(862)
Stock repurchases for tax withholding on employee equity plans	(160)	(42)	(607)	(728)
Settlement of contingent consideration liability	(284)	-	(284)	-
Other	-	-	-	(1)
Net cash used in financing activities	(328)	(171)	(431)	(2,062)
Net increase (decrease) in cash, cash equivalents and restricted cash	731	(86)	1,745	(122)
Cash, cash equivalents and restricted cash at beginning of period	4,825	3,897	3,811	3,933
Cash, cash equivalents and restricted cash at end of period	\$ 5,556	\$ 3,811	\$ 5,556	\$ 3,811
Reconciliation of cash, cash equivalents and restricted cash				
Cash and cash equivalents	\$ 5,539	\$ 3,787	\$ 5,539	\$ 3,787
Restricted cash included in Prepaid expenses and other current assets	17	24	17	24
Cash, cash equivalents and restricted cash at end of period	\$ 5,556	\$ 3,811	\$ 5,556	\$ 3,811

ADVANCED MICRO DEVICES, INC.
SELECTED CORPORATE DATA
(Millions) (Unaudited)

	Three Months Ended			Year Ended	
	December 27, 2025	September 27, 2025	December 28, 2024	December 27, 2025	December 28, 2024
Segment and Disaggregated Revenue Information ⁽¹⁾					
Net Revenue:					
Data Center Segment	\$ 5,380	\$ 4,341	\$ 3,859	\$ 16,635	\$ 12,579
Client and Gaming Segment					
Client	3,097	2,750	2,313	10,640	7,054
Gaming	843	1,298	563	3,910	2,595
Total Client and Gaming	3,940	4,048	2,876	14,550	9,649
Embedded Segment	950	857	923	3,454	3,557
Total net revenue	\$ 10,270	\$ 9,246	\$ 7,658	\$ 34,639	\$ 25,785
Operating Income (Loss):					
Data Center Segment	\$ 1,752	\$ 1,074	\$ 1,157	\$ 3,603	\$ 3,482
Client and Gaming Segment	725	867	496	2,855	1,187
Embedded Segment	357	283	362	1,243	1,421
All other	(1,082)	(954)	(1,144)	(4,007)	(4,190)
Total operating income	\$ 1,752	\$ 1,270	\$ 871	\$ 3,694	\$ 1,900
Other Data					
Capital expenditures	\$ 222	\$ 258	\$ 208	\$ 974	\$ 636
Adjusted EBITDA ⁽²⁾	\$ 3,048	\$ 2,431	\$ 2,198	\$ 8,521	\$ 6,810
Cash, cash equivalents and short-term investments	\$ 10,552	\$ 7,243	\$ 5,132	\$ 10,552	\$ 5,132
Free cash flow ⁽³⁾	\$ 2,082	\$ 1,530	\$ 1,091	\$ 5,519	\$ 2,405
Total assets	\$ 76,926	\$ 76,891	\$ 69,226	\$ 76,926	\$ 69,226
Total debt	\$ 3,222	\$ 3,220	\$ 1,721	\$ 3,222	\$ 1,721

See footnotes on the next page

⁽¹⁾ The Company operates as three operating segments, Data Center, Client and Gaming, and Embedded segments.

The Data Center segment primarily includes Artificial Intelligence (AI) accelerators, microprocessors (CPUs) for servers, graphics processing units (GPUs), accelerated processing units (APUs), data processing units (DPUs), AI Network Interface Cards (AI NICs), Field Programmable Gate Arrays (FPGAs) and adaptive System-on-Chip (SoC) products for data centers.

The Client and Gaming segment primarily includes CPUs, APUs, chipsets for desktops and notebooks, discrete GPUs, and semi-custom SoC products and development services.

The Embedded segment primarily includes embedded CPUs, APUs, FPGAs, System on Modules (SOMs), and adaptive SoC products.

From time to time, the Company may also sell or license portions of its IP portfolio.

All Other category primarily includes certain expenses and credits that are not allocated to any of the operating segments, such as amortization of acquisition-related intangibles, employee stock-based compensation expense, acquisition-related and other costs, inventory loss at contract manufacturer and restructuring charges.

⁽²⁾ **Reconciliation of GAAP Net Income to Adjusted EBITDA**

(Millions) (Unaudited)	Three Months Ended			Year Ended	
	December 27,	September 27,	December 28,	December 27,	December 28,
	2025	2025	2024	2025	2024
GAAP net income	\$ 1,511	\$ 1,243	\$ 482	\$ 4,335	\$ 1,641
Interest expense	36	37	19	131	92
Other (income) expense, net	(358)	(82)	(37)	(577)	(181)
Income tax provision (benefit)	455	153	419	(103)	381
Equity income in investee	(1)	(10)	(12)	(26)	(33)
Stock-based compensation	486	419	339	1,638	1,407
Depreciation and amortization	194	192	172	750	671
Amortization of acquisition-related intangibles	557	562	584	2,254	2,394
Acquisition-related and other costs	50	43	46	231	187
Inventory loss at (recovery from) contract manufacturer	-	(67)	-	(67)	65
Loss contingency on legal matter	9	12	-	21	-
Restructuring charges	-	-	186	-	186
Loss (Income) from discontinued operations, net of tax	109	(71)	-	(66)	-
Adjusted EBITDA	\$ 3,048	\$ 2,431	\$ 2,198	\$ 8,521	\$ 6,810

The Company presents "Adjusted EBITDA" as a supplemental measure of its performance. Adjusted EBITDA for the Company is determined by adjusting GAAP net income for interest expense, other (income) expense, net, income tax provision (benefit), equity income in investee, stock-based compensation, depreciation and amortization expense, amortization of acquisition-related intangibles, inventory loss at (recovery from) contract manufacturer, loss contingency on legal matter, acquisition-related and other costs, restructuring charges, and income from discontinued operations, net of tax. The Company calculates and presents Adjusted EBITDA because management believes it is of importance to investors and lenders in relation to its overall capital structure and its ability to borrow additional funds. In addition, the Company presents Adjusted EBITDA because it believes this measure assists investors in comparing its performance across reporting periods on a consistent basis by excluding items that the Company does not believe are indicative of its core operating performance. The Company's calculation of Adjusted EBITDA may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view Adjusted EBITDA as an alternative to the GAAP operating measure of net income or GAAP liquidity measures of cash flows from operating, investing and financing activities. In addition, Adjusted EBITDA does not take into account changes in certain assets and liabilities that can affect cash flows.

⁽³⁾ **Reconciliation of GAAP Net Cash Provided by Operating Activities of Continuing Operations to Free Cash Flow**

(Millions except percentages) (Unaudited)	Three Months Ended			Year Ended	
	December 27,	September 27,	December 28,	December 27,	December 28,
	2025	2025	2024	2025	2024
GAAP net cash provided by operating activities of continuing operations	\$ 2,304	\$ 1,788	\$ 1,299	\$ 6,493	\$ 3,041
Operating cash flow margin % from continuing operations	22%	19%	17%	19%	12%
Purchases of property and equipment	(222)	(258)	(208)	(974)	(636)
Free cash flow	\$ 2,082	\$ 1,530	\$ 1,091	\$ 5,519	\$ 2,405
Free cash flow margin %	20%	17%	14%	16%	9%

The Company also presents free cash flow as a supplemental Non-GAAP measure of its performance. Free cash flow is determined by adjusting GAAP net cash provided by operating activities of continuing operations for capital expenditures, and free cash flow margin % is free cash flow expressed as a percentage of the Company's net revenue. The Company calculates and communicates free cash flow in the financial earnings press release because management believes it is of importance to investors to understand the nature of these cash flows. The Company's calculation of free cash flow may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view free cash flow as an alternative to GAAP liquidity measures of cash flows from operating activities.

The Company has provided reconciliations within the earnings press release of these Non-GAAP financial measures to the most directly comparable GAAP financial measures.

RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES

(in millions, except per share data) (Unaudited)

	Three Months Ended			Year Ended	
	December 27, 2025	September 27, 2025	December 28, 2024	December 27, 2025	December 28, 2024
GAAP gross profit	\$ 5,577	\$ 4,780	\$ 3,882	\$ 17,152	\$ 12,725
<i>GAAP gross margin</i>	<i>54%</i>	<i>52%</i>	<i>51%</i>	<i>50%</i>	<i>49%</i>
Stock-based compensation	8	7	6	26	22
Amortization of acquisition-related intangibles	260	260	252	1,031	946
Acquisition-related and other costs ⁽¹⁾	1	-	-	2	1
Inventory loss at (recovery from) contract manufacturer ⁽²⁾	-	(67)	-	(67)	65
Loss contingency on legal matter	9	12	-	21	-
Non-GAAP gross profit	\$ 5,855	\$ 4,992	\$ 4,140	\$ 18,165	\$ 13,759
<i>Non-GAAP gross margin</i>	<i>57%</i>	<i>54%</i>	<i>54%</i>	<i>52%</i>	<i>53%</i>
GAAP operating expenses ⁽³⁾	\$ 3,825	\$ 3,510	\$ 3,011	\$ 13,458	\$ 10,825
<i>GAAP operating expenses/revenue %</i>	<i>37%</i>	<i>38%</i>	<i>39%</i>	<i>39%</i>	<i>42%</i>
Stock-based compensation	478	412	333	1,612	1,385
Amortization of acquisition-related intangibles	297	302	332	1,223	1,448
Acquisition-related and other costs ⁽¹⁾	49	42	46	226	185
Restructuring charges ⁽⁴⁾	-	-	186	-	186
Non-GAAP operating expenses ⁽³⁾	\$ 3,001	\$ 2,754	\$ 2,114	\$ 10,397	\$ 7,621
<i>Non-GAAP operating expenses/revenue %</i>	<i>29%</i>	<i>30%</i>	<i>28%</i>	<i>30%</i>	<i>30%</i>
GAAP operating income	\$ 1,752	\$ 1,270	\$ 871	\$ 3,694	\$ 1,900
<i>GAAP operating margin</i>	<i>17%</i>	<i>14%</i>	<i>11%</i>	<i>11%</i>	<i>7%</i>
Stock-based compensation	486	419	339	1,638	1,407
Amortization of acquisition-related intangibles	557	562	584	2,254	2,394
Acquisition-related and other costs ⁽¹⁾	50	42	46	228	186
Inventory loss at (recovery from) contract manufacturer ⁽²⁾	-	(67)	-	(67)	65
Loss contingency on legal matter	9	12	-	21	-
Restructuring charges ⁽⁴⁾	-	-	186	-	186
Non-GAAP operating income	\$ 2,854	\$ 2,238	\$ 2,026	\$ 7,768	\$ 6,138
<i>Non-GAAP operating margin</i>	<i>28%</i>	<i>24%</i>	<i>26%</i>	<i>22%</i>	<i>24%</i>

	Three Months Ended					Year Ended				
	December 27, 2025	September 27, 2025	December 28, 2024	December 27, 2025	December 28, 2024	December 27, 2025	December 28, 2024	December 27, 2025	December 28, 2024	December 28, 2024
GAAP net income / earnings per share	\$ 1,511	\$ 0.92	\$ 1,243	\$ 0.75	\$ 482	\$ 0.29	\$ 4,335	\$ 2.65	\$ 1,641	\$ 1.00
Stock-based compensation	486	0.29	419	0.26	339	0.21	1,638	1.00	1,407	0.86
Amortization of acquisition-related intangibles	557	0.34	562	0.34	584	0.36	2,254	1.38	2,394	1.46
Acquisition-related and other costs ⁽¹⁾	50	0.03	43	0.03	46	0.03	231	0.14	187	0.11
Inventory loss at (recovery from) contract manufacturer ⁽²⁾	-	-	(67)	(0.04)	-	-	(67)	(0.04)	65	0.04
Loss contingency on legal matter	9	0.01	12	0.01	-	-	21	0.01	-	-
Gains on long-term investments, net	(280)	(0.17)	(26)	(0.02)	-	-	(365)	(0.22)	2	-
Equity income in investee	(1)	-	(10)	-	(12)	(0.01)	(26)	(0.02)	(33)	(0.02)
Restructuring charges ⁽⁴⁾	-	-	-	-	186	0.11	-	-	186	0.11
Release of reserves for uncertain tax positions ⁽⁵⁾	-	-	-	-	-	-	(853)	(0.52)	-	-
Income tax provision	78	0.04	(140)	(0.09)	152	0.10	(271)	(0.17)	(429)	(0.25)
Loss (Income) from discontinued operations, net of tax ⁽⁶⁾	109	0.07	(71)	(0.04)	-	-	(66)	(0.04)	-	-
Non-GAAP net income / earnings per share	\$ 2,519	\$ 1.53	\$ 1,965	\$ 1.20	\$ 1,777	\$ 1.09	\$ 6,831	\$ 4.17	\$ 5,420	\$ 3.31

⁽¹⁾ Acquisition-related and other costs primarily include transaction costs, purchase price fair value adjustments for inventory, certain compensation charges, and workforce rebalancing charges.

⁽²⁾ Inventory loss at (recovery from) contract manufacturer is related to losses due to an incident at a third-party contract manufacturing facility and the corresponding recovery.

⁽³⁾ Effective first quarter of 2025, licensing gain is reclassified against Marketing, general and administrative expenses as the amounts were immaterial.

⁽⁴⁾ Restructuring charges are related to the 2024 Restructuring Plan which comprised of employee severance charges and non-cash asset impairments.

⁽⁵⁾ Release of reserves for uncertain tax positions pertains to the reasonable cause relief related to dual consolidated losses approved by the IRS in the second quarter of 2025.

⁽⁶⁾ Loss (Income) from discontinued operations relates to ZT Systems' manufacturing business which was divested in the fourth quarter of 2025.

RECONCILIATION OF GAAP TO ADJUSTED NON-GAAP FINANCIAL MEASURES
(Millions) (Unaudited)

	Three Months Ended
	December 27, 2025
GAAP gross profit	\$ 5,577
<i>GAAP gross margin</i>	<i>54%</i>
Stock-based compensation, amortization of acquisition-related intangibles, acquisition-related and other costs	278
Impact from the release of inventory and related charges associated with U.S. export restrictions and AMD Instinct MI308 revenue to China	(430)
Adjusted Non-GAAP gross profit	\$ 5,425
<i>Adjusted Non-GAAP gross margin</i>	<i>55%</i>